

C1 – STRONG ECONOMY VS HOUSEHOLD REALITY

(Contradictions Ledger – Evidence Sheet)

I. THE OFFICIAL NARRATIVE (“WORDS”)

Federal leaders from 2021–2024 repeatedly asserted that the U.S. economy was “strong,” “resilient,” and undergoing a “historic recovery.” Public statements emphasized rising wages, easing inflation, stable housing conditions, and strong household finances.

Representative examples include:

- President Joe Biden (2023 SOTU): “Our economy is the strongest in the world... Wages are rising, inflation is coming down.”
- Jerome Powell, Federal Reserve (Feb 2023): “The labor market remains extremely tight... We have begun to see disinflation without the labor market weakening.”
- Janet Yellen, Treasury (Feb 2023): “Household finances remain strong... You don’t have a recession when you have 500,000 jobs.”
- White House Press Office (2022): “We are in a strong position to transition to steady and stable growth.”
- FHFA Director Sandra Thompson (2023): “The housing finance system is safe and sound.”
- SSA (2022 COLA Announcement): COLA will “ensure purchasing power is not eroded by inflation.”

This is the public-facing “strong economy” narrative.

II. HOUSEHOLD OUTCOMES (“OUTCOMES”)

Beneath the official narrative, federal statistical agencies recorded worsening affordability, falling purchasing power, rising hunger, and record debt.

1. Real Wages Fell

BLS real earnings declined for ~24 consecutive months (2021–2022), dropping roughly 3.5% in 2022 alone.

2. Food Insecurity Increased

Census Pulse Survey: households reporting “not enough to eat” climbed from ~8% (2021) to ~12.5% (Oct 2023).

3. Housing Affordability Collapsed

Median home price-to-income ratio reached ~5.6× in 2022 — the worst in modern history.

4. Rent Burden Rose

Nearly 50% of renters now spend over 30% of income on rent. Roughly 21 million households are cost-burdened.

5. Grocery Prices Locked In a 23–24% Increase

Even after inflation slowed, prices never returned to prior levels.

6. Household Debt Hit Record Highs

Credit card balances surpassed \$1.1T (2024). Delinquencies rose, especially among younger borrowers.

These outcomes directly contradict the “strong economy” framing.

III. THE CONTRADICTION

Officials pointed to strong aggregate indicators (GDP, low unemployment, financial system resilience) as proof of economic strength. But official data shows:

- shrinking purchasing power,
- rising hunger,
- runaway housing costs,
- soaring rent burdens, and
- record household debt.

One-Sentence Version:

A “strong economy” at the top masked the reality of falling real wages, record rents, rising hunger, and historic debt for households.

IV. VIDEO EVIDENCE (SUMMARY)

- Biden SOTU 2023 – “The state of the economy is strong.”
- Yellen Interview – “You don’t have a recession with 500,000 jobs.”
- Powell FOMC – “Labor market remains extremely tight.”
- WH Press – “Transition to steady and stable growth.”
- Yellen Congressional Testimony defending economic strength.

These clips present claims directly contradicted by federal data.

V. APA ROUTING (AGENCY USE)

This contradiction supports:

- vFED – wages vs inflation mismatch; shelter-cost distortion.
- vDOL – job strength claims vs declining real pay.
- vHUD / vFHFA – affordability collapse vs “housing resilience.”
- vSSA – COLA narrative failing to match real living costs.
- vIRS – tax thresholds mismatching real inflation.
- vED / vHHS – economic instability harming learning and health.

This sheet provides a unified factual baseline showing systemic divergence between official economic narratives and measurable household realities.